

be signed by counsel (*d*), and the Judge, where necessary, may require the attendance of counsel (*e*).

29. **Authority from the cestui que trust to receive the money.** — When the trustee is satisfied as to the parties rightfully entitled, he may pay the money either to the parties themselves, or to an agent empowered by them to receive it; and the authority need not be by *power of attorney*, or by *deed*, or even in *writing*. The trustee is safe if he can prove the authority, however *communicated. But [*353] a trustee would not be acting *prudently* if he parted with the fund to an agent without some document producible at any moment by which he could establish the fact of the agency.

30. **Genuineness of the authority.** — The trustee must look well to the *genuineness* of the authority, for if he pay to a wrong party it will be at his own peril. Thus, where A., possessed of 1000*l.* Million Bank stock, employed B., a broker, to receive the dividends for her, and B. *forged* a letter of attorney authorising him to sell the stock, and a sale was effected accordingly, it was decreed by Lord Northington that the company must bear the loss: for “a trustee,” he said, “whether a private person or body corporate, must see to the reality of the authority empowering him to dispose of the trust money; and if the transfer be made without the authority of the owner, the act is a nullity, and in consideration of law and equity the rights remain as before” (*a*).

31. **Forged mortgage.** — Where a trustee [handed over money to his solicitor for investment, and subsequently took] a supposed mortgage, but which, in fact, had been *forged* by the trustee’s own solicitor, and the trustee did not take all the precautions that he might have done (*viz.*, by calling for a receipt under the hands of the mortgagor for the money),

[*(d)* Notwithstanding the Judicature Act, 1873, and Ord. 19, R. 4, of the Rules of the Supreme Court, 1883, signature by counsel is still necessary. *Re Boulton’s Trusts*, 51 L. J. N. S. Ch. 493.]

(*e*) See *post*, chap. xxiii. s. 2, div. 4.

(*a*) *Ashby v. Blackwell*, 2 Eden, 299; *Sloman v. Bank of England*, 14 Sim. 475; *Eaves v. Hickson*, 30 Beav. 136; *Sutton v. Wilders*, 12 L. R. Eq. 373; and see *Harrison v. Pryse*, Barn. 324; *Ex parte Jolliffe*, 8 Beav. 168.